



Management buy-ins and buy-outs

A company's ownership may undergo a change, which can be driven either externally, known as a management buy-in, or internally, known as a management buy-out.

How it works

In a management buy-in (MBI), a group of managers or investors from outside the company raises the funds to buy a majority stake in the company and then takes over its management. This type of action occurs when a company appears to be either undervalued or underperforming. In a typical management buy-out (MBO), the

company's existing management team purchases all or part of the company they work for. Despite the name, MBOs are not restricted to managers, and they can include employees from any level of the organization who wish to make the transition from employee to owner.



NEED TO KNOW

- **Earnout** A percentage of the purchase price paid to the sellers after acquisition if the business has performed as expected
- **Leveraged buy-out** Acquisition of a company using equity and borrowed money, with company as collateral for loan

Buy-in

Some companies, such as investment banks or venture capitalists, can make sizable profits by purchasing undervalued businesses and transforming them.

